

Beyond that, though, let your kids decide how to divvy up their pay into the jars. If you're helicoptering over them, making their decisions, they'll never get to stuff up. And we learn by making mistakes. It's better for them to learn their lesson when they blow their \$6 pocket money than when they blow their \$60 000 annual wage.

Jam jars for teenagers? Seriously?

Teenagers are going to graduate from the jam jars to bank accounts. However, all pocket money is paid and divvied up via the jam jars. I'm not trying to be cute—research suggests it's the best way to teach your kids about money. Again, we'll be covering that more in the next chapter.

How do my kids pay for bigger purchases or even online purchases?

You can pay for big-ticket items out of the savings account I mentioned above, and older teens will be opening their own accounts. I'll go into all this in more detail in Chapter 1 (Part II).

I'm worried my kids will steal money from each other's jam jars.

My five-year-old was onto this much earlier than I was—he put his jam jars on top of his bookshelf, out of reach of his little brother. But if you're worried about pilfering pinkies, you can always lock the jam jars away for the week and bring them out on payday.

If the coins pile up in the jam jars you can exchange them for notes (use the coins for parking!), or you can use the account we'll set up in the next chapter.

But with jam jars they're not earning interest . . .

You can always deposit some of their money into the online account you're about to set up. However, a much better payoff is letting your kids see the money building up in front of them.

I want to teach them how the world really works, and everyone uses ATM cards these days.